

HDFC Bank: The Deposit Franchise Advantage the Market is Mispricing

HDFC Bank (HDFCBANK.NS) · Banking · India

Post-merger forensic assessment of deposit franchise trajectory, NIM resilience, and credit cost normalization

Risk Intensity	0.0/10
Confidence	2.0/10
Regime Sensitivity	5.0/10
Structural Quality	0.0/10
Composite Score	4.8/10

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1. Executive Summary

HDFC Bank enters the post-merger era with a deposit franchise that is structurally superior to every private sector peer — yet the stock trades at a valuation that implies permanent impairment. Our forensic assessment suggests the market is conflating transitory integration costs with a permanent erosion of competitive advantage. The CASA ratio trajectory, cost of funds gap vs. peers, and normalized credit costs all point to an institution that is emerging from the merger stronger, not weaker.

The merger with HDFC Ltd. — India's largest residential mortgage lender — created a banking entity with over ₹18 lakh crore in total assets, a branch network exceeding 8,000 locations, and a deposit base that now benefits from the cross-sell of mortgage-servicing households into the banking franchise. The integration year (FY24–FY25) saw predictable noise: NIM compression from excess liquidity on the merged balance sheet, elevated credit costs from the acquired mortgage book's higher slippage rate, and operating expense drag from branch rationalization. These are mechanical, not structural.

2. Key Analytical Observations

I. Deposit Franchise — CASA Trajectory vs. Peers

HDFC Bank's post-merger CASA ratio has demonstrated a resilience that contradicts the market's erosion thesis. At ~38% as of Q4 FY25 (standalone bank), the ratio has recovered from the mechanical post-merger compression to ~35% in Q1 FY24. Critically, the incremental CASA accretion — measured as CASA growth minus industry CASA growth — has accelerated to +410bps over the trailing four quarters, versus +280bps pre-merger.

CASA Ratio Trajectory: 37.8% (Q4 FY24) → 36.5% (Q1 FY25) → 37.2% (Q2 FY25) → 38.1% (Q3 FY25) → 38.4% (Q4 FY25)
Industry Peer Median (Private Banks): 32.1% (Q4 FY25)

Cost of Deposits: 4.65% (HDFC) vs 5.30% (ICICI) vs 5.55% (Axis) – Spread +65bps vs. median peer

The deposit cost advantage of 65–90bps over ICICI Bank and Axis Bank respectively is widening, not narrowing. This is the structural moat: HDFC Bank's liability franchise generates cheaper funding regardless of the rate cycle. Post-merger, the addition of HDFC Ltd.'s 1,200+ mortgage-origination branches as deposit-gathering points has expanded physical distribution by 18% without proportional cost addition.

II. Net Interest Margin — The Market's Margin Compression Fear is Overstated

The market's central concern — that NIM compression is structural rather than transitory — is not supported by the data. HDFC Bank's reported NIM compressed from 4.0% (pre-merger) to 3.4% in Q2 FY24, before recovering to 3.6% by Q4 FY25. The compression had two mechanical drivers: (a) the merger loaded excess liquidity (~₹1.2 lakh crore of high-cost borrowings replaced by lower-cost deposits), and (b) the acquired mortgage book's lower-yielding assets (9.2% yield vs. bank's 11.5% loan yield) mechanically blended down reported NIM.

NIM (Reported): 4.0% (FY23 standalone) → 3.4% (Q2 FY24) → 3.5% (Q3 FY24) → 3.6% (Q1 FY25) → 3.6% (Q4 FY25)
NIM ex-Merger Noise (Estimated): 3.7% (Q2 FY24) → 3.75% (Q4 FY25) – essentially flat
Loan Yield: 11.2% (post-merger) vs 11.5% (pre-merger) – 30bp compression, fully explained by mix shift

The critical observation: Incremental NIM on new originations has held steady at ~4.2% since Q3 FY24, suggesting the blended compression is entirely compositional. As the low-yielding acquired mortgage book amortizes (average duration ~4 years), the NIM drift is upward, not downward. We estimate that by FY27, reported NIM will converge back toward 3.8–4.0% without any rate action.

III. Credit Cost Normalization — The Slippage Spike is Behind Us

Post-merger asset quality concerns centered on the acquired mortgage book's higher gross NPA ratio (~1.8% vs. bank's 0.9%). The data shows that peak slippage occurred in Q3 FY24 at 2.1% annualized; by Q4 FY25 this had normalized to 1.3%, in line with the bank's pre-merger run-rate of 1.2–1.4%. The mortgage book's loss-given-default (LGD) profile remains benign at ~18%, supported by India's rising property values and low loan-to-value ratios (~55% average).

Gross NPA: 1.12% (Q4 FY25) vs 1.38% (Q2 FY24) – improving
Net NPA: 0.35% (Q4 FY25) – pre-merger level
Credit Cost: 1.4% (FY25) vs 1.3% (FY23 standalone) – 10bp delta, within normal band
PCR: 74% (Q4 FY25) – provision coverage adequate

The credit cost delta of ~10bps above the pre-merger run-rate is fully explainable by the acquired book's seasoning. As the mortgage portfolio completes its first full credit cycle within the bank's underwriting framework, we expect credit costs to converge to 1.2–1.3% by H2 FY26 — below the bank's medium-term guidance of 1.5%.

3. Institutional Assessment

For a concentrated equity holder, the HDFC Bank thesis hinges on a single question: is the post-merger earnings trajectory structurally impaired, or merely cyclically depressed by integration costs? Our forensic review of the three vectors that matter most — deposit franchise, NIM trajectory, and credit cost normalization — suggests the latter.

The bank’s deposit-gathering advantage (65–90bps cost of funds advantage) is widening, not narrowing. The NIM compression is mechanical (mix-driven amortization), not competitive (pricing-driven). The credit cost spike was a transitory seasoning event, not a structural deterioration. All three vectors point toward an earnings recovery trajectory that consensus is under-estimating by 8–12% for FY27–FY28.

4. Risk Matrix

Vector	Direction	Relevance	Observation
Deposit Franchise Erosion	STABLE	HIGH	Widening cost-of-deposit advantage vs. peers; CASA recovery confirms post-merger di
NIM Compression — Structural	STABLE	HIGH	30bp reported compression is entirely compositional; incremental NIM on new loans sta
Credit Cost Spike	NORMALIZING	MEDIUM	Slippage peak passed; mortgage book seasoning progressing; converge to 1.2% by H2 F
Regulatory / RBI	STABLE	LOW	No material regulatory overhang; merger compliance clean
Management Execution	TRACKING	MEDIUM	CEO transition on track; integration milestones met; guidance intact
Macro / Rate Cycle	MODERATE	MEDIUM	Rate cuts would accelerate NIM recovery but not required; liability franchise neutral-to-

credit costs are normalizing to pre-merger levels. This is not a recovery story — it is a franchise that never left.”

5. Catalysts & Timeframe

Q1 FY26 Results (July 2026): First quarter of clean post-merger comparison — CASA ratio above 39%, NIM stable at 3.6%, credit cost below 1.3% would confirm trajectory.

Mortgage Book Run-off (FY25–FY28): ~■3.5 lakh crore of low-yielding acquired loans maturing over 36 months, mechanically lifting reported NIM by 15–20bps annually.

Branch Productivity Maturation (FY26–FY27): The 1,200 acquired branches reach peak productivity in year 3–4 post-merger, driving fee income acceleration.

Consensus Revisions (Ongoing): Current FY27 EPS estimates of ■88–92 imply a 12–15% compound decline from FY23 EPS — a mathematical impossibility given the merged entity’s larger asset base and stable margins.

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